

Indirect Taxation

Assignment 2.1 | Date: 21/07/2026 | Topic: Goods and Services Tax (GST)

PART A — Short Answer Questions

1. Define Goods and Services Tax.

Goods and Services Tax (GST) is a single, comprehensive, destination-based indirect tax levied on the supply of goods and services at every stage of the supply chain, from manufacture to final consumption, with credit for taxes paid at earlier stages available as set-off. It replaced a large number of central and state indirect taxes (such as excise duty, service tax, VAT, and others) with one unified tax, and is collected on value addition at each stage, with the final burden borne by the end consumer.

2. Mention two features of GST and expand SGST and CGST.

Two features of GST:

- **Destination-based tax:** GST is levied on the basis of consumption, so the tax revenue accrues to the state where goods or services are finally consumed, rather than the state where they are produced.
- **Dual GST model:** GST in India is levied concurrently by both the Central and State Governments on the same taxable base, ensuring both levels of government share tax revenue.

SGST stands for **State Goods and Services Tax** — the tax component collected by the State Government on intra-state supplies of goods and services.

CGST stands for **Central Goods and Services Tax** — the tax component collected by the Central Government on the same intra-state supplies, levied alongside SGST.

3. State two benefits of GST.

- **Elimination of cascading tax effect:** By allowing input tax credit across the supply chain, GST removes the 'tax on tax' problem that existed under the earlier multiple-tax regime, reducing the overall cost of goods and services.
- **Creation of a unified national market:** GST replaced a web of different state and central taxes with one uniform tax structure across the country, simplifying compliance, easing the movement of goods across state borders, and improving ease of doing business.

4. Which Committee recommended GST?

The **Kelkar Task Force / Kelkar Committee** (headed by Vijay L. Kelkar), which examined the reform of indirect taxes, first recommended the introduction of a comprehensive Goods and Services Tax in India. Subsequently, an **Empowered Committee of State Finance Ministers** was set up to design the GST structure in consultation with the Centre.

5. Which Constitutional Amendment introduced GST?

The **101st Constitutional Amendment Act, 2016** introduced GST in India. It inserted Article 246A (granting concurrent power to Parliament and State Legislatures to make laws on GST), and amended related provisions to enable the levy of a unified Goods and Services Tax.

PART B — Descriptive Questions

1. Write a note on Kelkar Committee and GST.

The Kelkar Committee (Kelkar Task Force), headed by **Dr. Vijay L. Kelkar**, was constituted to review and recommend reforms to India's tax system, including both direct and indirect taxes. In its report, the Committee highlighted the inefficiencies of the existing indirect tax structure, which was fragmented across multiple central taxes (such as excise duty and service tax) and state-level taxes (such as VAT, entry tax, and octroi). This multiplicity of taxes led to cascading effects, complex compliance requirements, and barriers to inter-state trade.

The Committee recommended replacing this fragmented structure with a single, comprehensive Goods and Services Tax that would be levied on the value added at each stage of production and distribution, with a mechanism for input tax credit. This recommendation formed the conceptual foundation for GST in India. Following the Kelkar Committee's report, the idea was carried forward through the work of the Empowered Committee of State Finance Ministers, eventually leading to the enactment of the 101st Constitutional Amendment Act, 2016, and the rollout of GST on 1 July 2017.

2. Explain the features, benefits, and significance of GST.

Features of GST

- **Dual structure:** GST is levied concurrently by the Centre (CGST) and States (SGST) on intra-state supplies, and as Integrated GST (IGST) by the Centre on inter-state supplies and imports.
- **Destination-based consumption tax:** Revenue accrues to the state of consumption rather than the state of production.
- **Input Tax Credit (ITC):** Tax paid on inputs can be set off against tax payable on output, eliminating cascading taxation.
- **Multi-stage tax:** GST is levied at every stage of the supply chain, from manufacture to final sale, but only on the value added at each stage.
- **Uniform tax rates and rules:** GST rates and procedures are largely uniform across the country, administered through a common portal (GSTN).

Benefits of GST

- Removal of cascading effect of taxes through seamless input tax credit.
- Creation of a common national market by removing inter-state tax barriers.
- Simplified compliance through a single, largely online tax administration.
- Reduction in the overall tax burden and prices for consumers over time.
- Boost to ease of doing business and to logistics efficiency, since goods move across states without multiple check-post levies.

- Wider tax base and improved tax compliance, increasing government revenue.

Significance of GST

GST is widely regarded as one of the most significant indirect tax reforms in independent India. It unified a fragmented indirect tax system into a single national tax, strengthened cooperative federalism through the GST Council (a joint forum of the Centre and States), improved transparency through technology-driven compliance, and contributed to formalising the economy by bringing more businesses into the tax net. It is often described as embodying the principle of 'One Nation, One Tax, One Market.'

PART C — Long Answer Question

1. Discuss the origin and evolution of GST in India.

Early proposals: The idea of a comprehensive Goods and Services Tax in India can be traced back to the early 2000s. The Kelkar Task Force, set up to recommend reforms in direct and indirect taxation, first proposed replacing India's fragmented indirect tax structure with a unified GST, in order to remove cascading taxation and create a common national market.

Formal announcement: The Union Government formally announced its intention to introduce GST in the Budget speech of 2006-07, with an original target implementation date of 1 April 2010. To design the structure of GST, the Empowered Committee of State Finance Ministers, which had earlier worked on VAT, was entrusted with preparing a roadmap in consultation with the Centre.

Delays and consultations: The rollout of GST faced repeated delays due to differences between the Centre and States over issues such as revenue-sharing, compensation for revenue loss to states, and the treatment of specific goods like petroleum products and alcohol. Several discussion papers and draft constitutional amendment bills were introduced and revised over the following years as consensus was built gradually among the states.

Constitutional Amendment: The turning point came with the passage of the **Constitution (101st Amendment) Act, 2016**, which empowered both Parliament and State Legislatures to levy GST concurrently. This amendment also provided for the creation of the **GST Council**, a constitutional body chaired by the Union Finance Minister and comprising State Finance Ministers, responsible for making recommendations on GST rates, exemptions, and administration.

Implementation: Following the passage of enabling legislation — the Central GST Act, State GST Acts, Integrated GST Act, and the GST (Compensation to States) Act — GST was finally launched at midnight on **1 July 2017**, in a special session of Parliament, replacing a host of central and state indirect taxes such as excise duty, service tax, VAT, central sales tax, octroi, and entry tax.

Post-implementation evolution: Since its launch, GST has continued to evolve through periodic amendments and GST Council decisions, including revisions to tax slabs, the introduction of e-way bills for movement of goods, e-invoicing requirements, simplification of return-filing procedures, and measures to curb tax evasion. This ongoing refinement reflects

GST's nature as a continually evolving reform rather than a one-time change, aimed at making the tax system simpler, more transparent, and more efficient over time.

— End of Assignment —